(108)

IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Composite Scheme of Arrangement*

CA(CAA)/75(CHE)2022

PRICOL PROPERTIES LIMITED
CIN NO:U45201TZ2006PLC012518
No.109, Race Course,
Coimbatore - 641018

... 1st Transferor Company

PRINFRA LIMITED
CIN NO:U70200TZ2012PLC017978
No.109, Race Course,
Coimbatore - 641018

... 2nd Transferor Company

PRICOL RETREATS LIMITED
CIN NO:U02102TZ2004PLC011345
No.109, Race Course,
Coimbatore - 641018

... 3rd Transferor Company

And

PRICOL TRAVEL PRIVATE LIMITED
CIN NO:U63040TZ2002PTC010019
No.109, Race Course,
Coimbatore - 641018

... Transferee Company

And

Their Respective Shareholders

*Order Pronounced on **15th February 2023***

CORAM

JUSTICE (RETD.) RAMALINGAM SUDHAKAR, PRESIDENT
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): V.Srinivasan, Advocate

ORDER

***Per:* SAMEER KAKAR, MEMBER (TECHNICAL)**

This is a Joint Company Application Viz., CA(CAA)/75(CHE)/2022 filed by the Applicant Companies, namely **PRICOL PROPERTIES LIMITED** (for brevity "First Transferor Company"), **PRINFRA LIMITED** (for brevity "Second Transferor Company"), **PRICOL RETREATS LIMITED** (for brevity "Third Transferor Company"), and **PRICOL TRAVEL PRIVATE LIMITED** (for brevity "Transferee Company") under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Composite Scheme of Arrangement (hereinafter referred to as the "SCHEME") proposed by the Applicant Companies. The said Scheme is also appended at "**Page Nos.–362 to 397**" to the CA/CAA/75/(CHE) 2022.

2. The Applicant Companies in this Company Application has sought for the following reliefs;

	EQUITY SHAREHOLDERS	PREFERENCE SHAREHOLDERS	SECURED CREDITORS	UNSECURED CREDITORS
TRANSFEROR COMPANY -1	To Dispense with	NIL	NIL	To Dispense with
TRANSFEROR COMPANY -2	To Dispense with	NIL	NIL	To Dispense with

TRANSFEROR COMPANY -3	To Dispense with	To Dispense with	To Dispense with	To Dispense with
TRANSFEREE COMPANY	To Dispense with	NIL	To Dispense with	**To Order Meeting**

3. The Composite Scheme of Arrangement provides for:

a) Amalgamation of Pricol Properties Limited (PPL) and its wholly owned subsidiaries Prinfra Limited (PL), and Pricol Retreats Limited (PRL) with Pricol Travel Private Limited (PTPL);

b) This Scheme also makes provisions for various other matters consequential or related to the above and otherwise integrally connected therewith:

Pursuant to Sections 230 to 232 read with Section and other applicable provisions of the Companies Act, 2013.

4. From the certificate of incorporation filed, it is evident that the Transferor Company -1 is a Public limited company incorporated under the provisions of Companies Act, 1956 on 27.01.2006. The Authorized Share Capital of the 1st Transferor Company is Rs.5,00,00,000/- (Rupees Five Crore only) divided into 40,00,000 Equity Shares of Rs.10/- each and 10,00,000 Preference Shares of Rs.10/- each. The Subscribed and Paid-up Capital of the 1st Transferor Company is Rs.4,00,00,000/- (Rupees Four Crore only) divided into 40,00,000 Equity Shares of Rs. 10/- each fully paid-up.

5. From the certificate of incorporation filed, it is evident that the Transferor Company -2 is a Public limited company incorporated under the provisions of Companies Act, 1956 on 05.03.2012. The Authorized Share Capital of the 2nd Transferor Company is Rs. 6,00,000/- (Rupees Six Lakhs only) divided into 60,000 Equity Shares of Rs. 10/- each. The Subscribed and Paid-up Capital of the 2nd Transferor Company is Rs.6,00,000/- (Rupees Six Lakhs Only) divided in to 60,000 Equity Shares of Rs.10/- each fully paid-up.

6. From the certificate of incorporation filed, it is evident that the Transferor Company -3 is a Public limited company incorporated under the provisions of Companies Act, 1956 on 16.09.2004. The Authorized Share Capital of the 3rd Transferor Company is Rs. 16,00,00,000/- (Rupees Sixteen Crores only) divided into 1,30,00,000 Equity Shares of Rs. 10/- each and 30,00,000 Preference Shares of Rs.10/- each. The Subscribed and Paid-up Capital of the 3rd Transferor Company is Rs. 16,00,00,000/- (Rupees Sixteen Crores only) divided into 1,30,00,000 Equity Shares of Rs. 10/- each fully paid-up and 30,00,000 Preference Shares of Rs. 10/- each fully paid-up.

7. From the certificate of incorporation filed, it is evident that the Transferee Company is a Private limited company incorporated under the provisions of Companies Act, 1956 on 24.01.2002. The

Authorized Share Capital of the Transferee Company is Rs. 2,00,00,000/- (Rupees Two Crore only) divided into 20,00,000 Equity Shares of Rs. 10/- each. The Subscribed and Paid-up Capital of the Transferee Company is Rs. 2,00,00,000/- (Rupees Two Crore only) divided into 20,00,000 Equity Shares of Rs.10/- each fully paid-up.

8. An affidavit in support of the above application is sworn for and behalf of the applicant Companies has been filed by one Mr. T.G.Thamizhanban in the capacity of Director of the Transferor Company -1 & 2 & Transferee Company and Authorized Signatory of the Transferor Company 3 filed as a separate Typeset and it is also represented that the Registered office of the Applicant Companies are situated within the jurisdiction of Registrar of Companies, Coimbatore.

9. **PRICOL PROPERTIES LIMITED**
TRANSFEROR COMPANY -1

(i) There are **8 (Eight)** Equity Shareholders and list of shareholders to this effect is placed at page Nos. 425-426 of the typed set filed along with the application and consent by way of Affidavits given by all the equity shareholders is placed at Page Nos.427 to 442 and sought for dispensation with holding of meeting.

(ii) There are **Nil** Secured Creditors and the certificate issued by the Chartered Accountant to this effect is placed at Page No. 422 of the typed set filed along with the Application. Hence the necessity of Convening, holding and conducting the meeting does not arise.

(iii) There are **5 (Five)** Unsecured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at Page No. 422 of the typed set filed with the application and the consent Affidavits given by one unsecured creditor Constituting 97.12% of the total value of credit have been obtained are placed at Page Nos. 423 to 424 of the typed set filed along with the Application and sought for dispensation with holding of meeting.

10. PRINFRA LIMITED
TRANSFEROR COMPANY -2

(i) The Transferor Company – 1 and its nominees hold 100% of the issued, subscribed and paid-up capital of the Transferor Company – 2 and the consent Affidavits given by the Transferor Company – 1 and its nominees are placed at page Nos. 451 to 458 of the typed set filed along with the Application and sought for dispensation with holding of the meeting.

(ii) There are **Nil** Secured Creditors and the certificate issued by the Chartered Accountant to this effect is placed at Page No. 445 of the typed set filed along with the Application. Hence the necessity of Convening, holding and conducting the meeting does not arise.

(iii) There is **1 (One)** Unsecured Creditor and the certificate issued by the Chartered Accountants to this effect is placed at Page No. 445 of the typed set filed with the application and the consent Affidavits given by the Sole unsecured creditor Constituting 100% of the total value of credit have been obtained are placed at Page Nos. 446 to 447 of the typed set filed along with the Application and sought for dispensation with holding of meeting.

11. PRICOL RETREATS LIMITED TRANSFEROR COMPANY -3

(i) The Transferor Company – 1 and its nominees hold 100% of the issued, subscribed and paid-up capital of the Transferor Company – 3 and the consent Affidavits given by the Transferor Company – 1 and its nominees are placed at page Nos. 485 to 490 of the typed set filed along with the Application and sought for dispensation with holding of the meeting.

(ii) There is **1 (One)** Preference Shareholder and list of shareholders to this effect is placed at page No 483 of the typed set filed with the application and consent by way of Affidavits given by the sole Preference shareholder is placed at Page No. 491 to 493 and sought for dispensation with holding of meeting.

(iii) There are **2 (Two)** Secured Creditors and the certificate issued by the Chartered Accountant to this effect is placed at Page No.461 of the typed set filed along with the Application and consent by way of Affidavit given by both the Secured Creditors is placed at Page Nos.462 to

467 and sought for dispensation with holding of meeting.

(iv) There are **33 (Thirty Three)** Unsecured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at Page No. 461 of the typed set filed with the application and the consent Affidavits given by 6 unsecured creditors Constituting 94.21% of the total value of credit have been obtained are placed at Page Nos. 468 to 481 of the typed set filed along with the Application and sought for dispensation with holding of meeting.

12. PRICOL TRAVEL PRIVATE LIMITED TRANSFEREE COMPANY

(i) There are **5 (Five)** Equity Shareholders and the list of shareholders to this effect is placed at Page Nos. 505 to 506 of the typed set filed with the application and consent by way of Affidavits given by all the equity shareholders constituting 100% is placed at Page Nos.507 to 523 and sought for dispensation with holding of meeting.

(ii) There is **1 (One)** Secured Creditor and the certificate issued by the Chartered Accountant to this effect is placed at Page No.496 of the typed set filed along with the Application and consent by way of Affidavit given by the sole Secured Creditor constituting 100% is placed at Page Nos.497 to 500 and sought for dispensation with holding of meeting.

(iii) There are **73 (Seventy Three)** Unsecured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at Page Nos. 503 to 504 of the typed set filed with the application and sought for convening, holding and conducting of meeting.

13. We have perused the application and the connected documents / papers filed therewith including the Scheme contemplated by the Applicant companies.

14. The Applicant Companies has filed its Memorandum and Articles of Association *inter alia* delineating its object clauses as well as their last available Audited Annual Accounts for the year ended 31.03.2022 which is appended at **Page Nos. 161 to 361** of the application typeset and Provisional Financial Statements for the period ended on 30.09.2022 which is appended as a separate typeset vide ***S.R.No.664 dated 25.10.2022***.

15. The Board of Directors of the Applicant Companies vide meeting held on **16th September 2022** had unanimously approved the proposed Scheme as contemplated above and copies of resolutions passed thereon have been placed on record by the applicant companies.

16. The Appointed date as specified in the Scheme is **01.04.2022**.

17. The Statutory Auditors of the Transferor and Transferee Company have examined the Scheme in terms of provisions of Sec. 232 of Companies Act, 2013 and the rules made thereunder and certified that the Accounting Standards are in compliance with Section 133 of the Companies Act, 2013.The said Certificates of the Statutory Auditors of the Applicant Companies in this regard is placed as a separate typed set of documents vide ***S.R.No.6534 dated 16.12.2022***.

18. Taking into consideration the application filed by the Applicant Company and the documents filed therewith as well as the position of law, this Tribunal propose to issue the following directions: -

A. IN RELATION TO THE TRANSFEROR COMPANY-1:

(i) **With respect to Equity shareholders:**

Since it is represented by the Transferor Company-1 that there are **8** Equity shareholders in the Company whose consents by way of Affidavits have been obtained from all the equity shareholders and are placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with***.

(ii) **With respect to Secured Creditors:**

Since it is represented by the Transferor Company-1 that there are **NIL** Secured Creditor in the Company, hence the necessity of Convening, holding and conducting a meeting **does not arise**.

(iii) **With respect to Unsecured Creditors:**

Since it is represented by the Transferor Company-1 that there are **5** Unsecured Creditors in the Company and the consent Affidavits obtained from unsecured creditors constituting 97.12% of the total value of credit having been obtained and are placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with***.

B. IN RELATION TO THE TRANSFEROR COMPANY-2:

(i) **With respect to Equity shareholders:**

Since it is represented by the Transferor Company – 2 that they are the wholly owned subsidiary of the Transferor Company – 1 and also the consent Affidavits of the Transferor Company – 1 along with its nominees have been obtained and are placed on record, the necessity of convening, holding or conducting the meeting is ***dispensed with.***

(ii) **With respect to Secured Creditors:**

Since it is represented by the Transferor Company-2 that there are **NIL** Secured Creditor in the Company, hence the necessity of Convening, holding and conducting a meeting **does not arise**.

(iii) **With respect to Unsecured Creditors:**

Since it is represented by the Transferor Company-2 that there is **1** Unsecured Creditor in the Company and the consent Affidavits obtained from sole unsecured creditor constituting 100% of the total value of credit having been obtained and are placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with***.

C. IN RELATION TO THE TRANSFEROR COMPANY-3:

(i) **With respect to Equity shareholders:**

Since it is represented by the Transferor Company – 3 that they are the wholly owned subsidiary of the Transferor Company – 1 and also the consent Affidavits of the Transferor Company – 1 along with its nominees have been obtained and are placed on record, the necessity of convening, holding or conducting the meeting is ***dispensed with.***

(ii) **With respect to Preference Shareholders:**

Since it is represented by the Transferor Company – 3 that they are the wholly owned subsidiary of the Transferor Company – 1 and also the consent Affidavits of the sole preference Shareholder has been obtained and placed on record, the necessity of convening, holding or conducting the meeting is ***dispensed with.***

(iii) **With respect to Secured Creditors:**

Since it is represented by the Transferor Company-3 that there are **2** Secured Creditors in the Company and the consent Affidavits obtained from both the Secured Creditors

constituting 100% of the total value of credit having been obtained and are placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with***.

(iv) **With respect to Unsecured Creditors:**

Since it is represented by the Transferor Company-3 that there are **33** Unsecured Creditors in the Company and the consent Affidavits obtained from unsecured creditors constituting 94.21% of the total value of credit having been obtained and are placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with***.

D. IN RELATION TO THE TRANSFEREE COMPANY:

(i) **With respect to Equity shareholders:**

Since it is represented by the Transferee Company that there **5** Equity shareholders in the Company whose consents by way of Affidavits have been obtained from all the equity shareholders and are placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with***.

(ii) **With respect to Secured Creditors:**

Since it is represented by the Transferee Company that there is **one** secured Creditor in the Company whose consents by way of Affidavits have been obtained from the sole Secured Creditor and are placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with***.

(iii) **With respect to Unsecured Creditors:**

Meeting of the Unsecured Creditors of the Transferee Company is directed to be held on **22.03.2023 at 03:00 PM** at the Registered Office address of the transferee Company or through video conferencing or if not convenient at any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this order and prior to the issue of notices.

19. The quorum for the meeting of the Transferee Company shall be as follows;

S.No	CLASS	QUORUM
1	UNSECURED CREDITORS	15

i) The Chairperson appointed for the above said meetings shall be **Mr. R. Varadharajan** (Mob:9444166699). The Fee of the Chairperson for the aforesaid meeting shall be **Rs. 50,000/- (Rupees Fifty Thousand Only)** in addition to meeting his incidental expenses. The Chairperson(s) will file the reports of the meeting within a week from the date of holding of the above said meetings.

ii) **Mr. Mohammed Umar,** Advocate (Mob: 7010189754) is appointed as a Scrutinizer for the above said meetings. The Fee of the Scrutinizer for the aforesaid meeting shall be **Rs. 25,000/- (Rupees Twenty Five Thousand Only)** in addition to meeting his incidental expenses.

iii) In case the quorum as noted above, for the above meeting of the Applicant Companies is not present at the meeting, then the meeting shall be adjourned by half an hour, and thereafter the person(s) present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting, is filed with the registered office of the applicant companies at least 48 hours before the meeting. The Chairperson and Alternate Chairperson appointed herein along with Scrutinizer shall ensure that the proxy registers are properly maintained. However, every endeavour should be made by the applicant companies to attain at least the quorum fixed, if not more in relation to approval of the scheme.

iv) The meetings shall be conducted as per applicable procedure prescribed under the MCA Circular MCA General Circular Nos. (i) 20/2020 dated 5th May, 2020 (AGM Circular), (ii) 14/2020, dated 08.04.2020 (EGM Circular-I) and (iii) 17/2020 dated 13.04.2020 (EGM Circular-II);

v) That individual notices of the above said meetings shall be sent by the Applicant Company through registered post or speed post or through courier or e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, the place and the time as aforesaid, together with a copy of Scheme, copy of explanatory statement, required to be sent under the Companies Act, 2013 and the prescribed form of proxy shall also be sent along and in

addition to the above any other documents as may be prescribed under the Act or rules may also be duly sent with the notice.

vi) That the Applicant Company shall publish advertisement with a gap of atleast 30 clear days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in the English Daily ***"The New Indian Express"*** **(All Editions), and** ***"Dina Malar" Tamil*** **(Tamil Nadu Edition)** in Vernacular stating the copies of Scheme, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the respective Applicant Companies.

vii) The Chairperson shall as aforestated be responsible to report the result of the meeting within a period of 3 days of the conclusion of the meeting with details of voting on the proposed scheme.

viii) The companies shall individually send notice to concerned Regional Director, Sothern Region, MCA, Registrar of Companies Coimbatore, Official Liquidator and the Income Tax Authorities, as well as other Sectoral regulators who may have significant bearing on the operation of the applicant companies or the Scheme *per se* along with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read with Companies(Compromises, Arrangements, Amalgamations) Rules, 2016.

ix) The applicant companies shall further furnish copy of the Scheme free of charge within 1 day of any requisition for the Scheme made by every creditor or member of the applicant companies entitled to attend the meetings as aforesaid.

x) The Authorized Representative of the Applicant Companies shall furnish an affidavit of service of notice of meetings and publication of advertisement and compliance of all directions contained herein at least a week before the proposed meetings.

xi) All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

20. The Applications stand **allowed** on the aforesaid terms

- Sd -

SAMEER KAKAR
MEMBER (TECHNICAL)

- Sd -

JUSTICE RAMALINGAM SUDHAKAR
PRESIDENT

Sriram Ananth.V